including the Patna-Purnia Expressway and the Buxar-Bhagalpur Expressway. Another Rs 21,400 crore have been assigned to the upcoming 2,400 MW thermal power plant at Pirpainti in Bhagalpur district and Rs 11,500 crore for flood control measures. Sitharaman also announced corridor projects for the Vishnupad temple at Gaya and the Mahabodhi temple at Bodh Gaya, "modelled on the successful Kashi Vishwanath Temple Corridor", besides "efforts to revamp the historic Nalanda University". The idea is to transform them into "world-class pilgrim and tourist destinations".

Writing on the social media platform X, Nitish lauded the announcements: "The budget presented by the Central government is positive. Special attention has been paid to the needs of Bihar. Emphasis has been placed on the human resource development and infrastructural development...." He also expressed hope that the Union government will continue to support the state's development in the same manner to meet its other requirements.

But Nitish will still have to endure the Opposition's jibe that he has failed to secure Special Category Status for Bihar—his pet demand since 2010—or at least a matching allocation. With a per capita GDP of around Rs 54,000, the state he helms is one of India's poorest. The caste-based survey of 2023 had delivered, inter alia, the unsurprising revelation that 34.13 per cent of the state's population survives on less than Rs 6,000 per month. So even if the Centre itself doesn't have the fiscal latitude for it at present, Nitish's tie-up with the BJP had always thrown up speculation around special status being part of the bargain.

Rashtriya Janata Dal leader Tejaswi Yadav, who was Nitish's deputy in Bihar's previous political arrangement, was therefore quick to pounce on its absence in the budget—and called it a "let-down". "To stop migration, remove the backwardness of the state, and ensure a better future for our youth through industrial growth," he wrote on X, "we will not step back even an inch from our demand for Special Category Status." "Bihar needs Rs 2.5 lakh crore to aid its 9.4 million poor families," adds another senior leader of his party. "The [Nitish] government, with Tejaswi as deputy CM, had pledged Rs 1.2 lakh for the homeless and increased financial assistance under the Sustainable Livelihood Scheme. What the Centre has promised are merely budgetary allocations, but what about the poor?"



"The budget has once again let down the people of Bihar. A comprehensive revival plan was essential...for which a special package along with Special Category Status is urgently needed"

— TEJASWI YADAV
Leader of Opposition, Bihar



"Narendra Modi has bartered projects to Andhra Pradesh and Bihar for the continuation of Naidu's and Nitish's support.... If this continues, we are ready to launch another movement"

— A. REVANTH REDDY
Chief Minister, Telangana

If it's any consolation for Nitish, despite his long-standing advocacy for it, the narrative of special status as a panacea for all economic ills has failed to resonate as an emotive electoral issue in a state deeply divided by caste identities. So, emphasising the significant financial commitments made to Bihar, coupled with the prospect of similar future central allocations, could very well be sufficient to boost his political capital.

The largesse to Bihar and Andhra Pradesh in the Union budget has underscored the often transactional nature of coalition politics in the world's largest democracy, intensifying the ongoing debate on equitable resource distribution within India's federal structure. A peeved Telangana chief minister, A. Revanth Reddy, pointed out that there was no mention of his state in Sitharaman's speech even though the 2014 reorganisation act relates to them as much as to Andhra Pradesh. "Narendra Modi has bartered projects to Andhra Pradesh and Bihar for the continuation of Naidu's and Nitish's support to his government," said Revanth, who is now planning to convene a meeting of chief ministers of all Opposition-ruled southern states. He and his counterparts—Karnataka's Siddaramaiah, Tamil Nadu's M.K. Stalin and Kerala's Pinarayi Vijayan—also decided to boycott the NITI Aayog meeting to be chaired by Modi on July 27. However, this could prove to be self-defeating, as at a time when the Opposition has finally found a united voice, it could have used the occasion to present a strong case for a rational review of the flow of funds from New Delhi. The boycott leaves them open to the charge of being churlish. ■